# WARRANTY ATLAS · Indiana (IN)

Law last amended: 2025 (eff. 2025-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-02

Cites: Ind. Code § 9-32-13-15.5; Ind. Code § 9-32-13-15; Ind. Code § 9-32-13-17; Ind. Code § 9-32-13-31; Ind. Code § 9-32-16-15; Ind. Code § 9-32-16-2; Ind. Code § 9-32-17-1

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Statute silent on time / not established | § 9-32-13-15.5(b) |
| **Mfr-backed service contract** | **Not addressed** | - | § 9-32-13-30.1(a) (anti-coercion on sales only) |
| **CPO warranty** | **Not addressed** | - | § 9-32-13-15(a) |
| **Independent service contract** | **Not addressed** | - | § 9-32-13-30.1(b) (sales-side only) |

Hourly rate: Dealer's retail labor rate = total labor sales for warranty-like repairs ÷ hours that generated them, using the lesser of 100 sequential customer-paid ROs or 90 consecutive days (ROs within 180 days). Takes effect automatically if the manufacturer does not rebut within 60 days. Applies 'unless otherwise agreed'. At most one declaration per 12 months. The dealer may revert to the nonretail rate at most once per 12 months.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: no rule in statute. Written notice to the dealer of the grounds for disapproval (§ 17(a)(3)) | § 9-32-13-17(a)(1)-(3) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. No denial based solely on an incidental failure to meet a claim-processing requirement (clerical error or administrative technica… | |
| **Chargebacks** | 12 months; fraud: Limits do not apply if the mfr can prove fraud on a claim. Audit or charge back only false or fraudulent claims, repairs not properly made, work not necessary, or claims not substantiated under the mfr's written procedures. No discrimination among dealers. Written notice of the specific grounds; an appeals process wi… | § 9-32-13-17(b) |
| **Rate resubmission** | One declaration of the parts markup or labor rate per 12-month period; the dealer may revert to the nonretail rate at most once per 12 months. Sample: 100 ROs or 90 days (dealer chooses); ROs <= 180 days old. Excluded: Discounted / promotional, Routine maintenance, Prep / reconditioning, Accessories, Collision / body / glass, State inspections, Goodwill, Tires, Other (see text). | § 9-32-13-15.5(b) |
| **Mfr response** | 60 days; no response = approved: Yes. Challenge: Rebuttal must substantiate how the declaration is unreasonable or materially inaccurate. The § 15 retail-rate duty applies 'as long as the dealer's retail rate is reasonable', judged against similar repairs by similarly situated Indiana repair facilities Forum: Complaint to the dealer services division of the Secretary of State w…. | § 9-32-13-15.5(c) |
| **Penalties** | Dealer complaint or petition to the Office of Administrative Law Proceedings; the ALJ may order mediation (§ 9-32-16-15). Complaint to the dealer services division (§ 9-32-13-31(a)). No express private damages action found in art. 32 for these sections Civil penalty up to $10,000 per violation (§ 9-32-17-1); license denial, suspension,… | IC 9-32-13-31, 9-32-16-2, 9-32-16-15, 9-32-17-1 |
| **Audit procedures** | Audit climate score 35/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 8/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: 30 days; internal appeal: yes; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 9-32-13-17(a)(1)-(3)): "not later than thirty (30) days after the claim is approved; … fail to approve or disapprove a claim not later than thirty (30) days after receipt … disapprove a claim without notice to the dealer in writing of the grounds"*

***Chargebacks*** *(§ 9-32-13-17(b)): "for up to twelve (12) months after the date on which the claim is paid. However, the limitations of this subsection do not apply if the manufacturer or distributor can prove fraud on a claim."*

***Rate*** *(§ 9-32-13-15.5(b)): "dividing the total labor sales for warranty like repairs by the number of hours that generated those sales in one hundred (100) customer paid sequential repair orders or ninety (90) consecutive days of customer paid repair orders"*

***Factory time*** *(§ 9-32-13-15.5(b)): "Unless otherwise agreed, it is an unfair practice for a manufacturer or distributor to fail to compensate a dealer anything less than the dealer's retail rates for parts or labor the dealer uses in performing the warranty services"*

## Notes

The retail-rate duty applies 'Unless otherwise agreed'. The optional § 16 uniform reimbursement contract needs at least 30% of same-line franchisees; its time-standards manual must allow a 'reasonable and adequate' diagnosis time. §§ 15 and 15.5 exclude manufactured housing, heavy-duty vocational vehicles (49 CFR 523.8) and RVs. § 15.5 also binds independently warranting component or major-assembly makers. No cost-recovery surcharge (§ 15.5(i)). § 15(b) bars a statewide uniform hourly labor rate. § 17 has no deemed-approval clause; failing to decide within 30 days is an unfair practice. § 17(f) requires compensation for customer assistance with OTA or remote repairs performed at the dealership.

Source: official · https://iga.in.gov/ic/2026/Title_9.pdf (Indiana Code 2026, Title 9; ch. 9-32-13) · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.